

EQUITY RESEARCH

ALPHABET INC.

GOOGL | Communication Services

Rating: Outperform

Current: \$349.94 | Target: \$375.00

April 2026

Key Metrics Snapshot

Market Cap	\$4,233.38B	ROE	31.83%
P/E (Fwd)	28.69	Dividend Yield	0.24%
P/B Ratio	9.13	52W Range	\$147.84 - \$355.79

Investment Thesis

Alphabet Inc. demonstrates robust financial momentum, with revenue compounding at 11.8% annually to reach approximately \$403 billion in 2025 while EBITDA margins expanded meaningfully to 44.7%, reflecting disciplined cost management and operating leverage. The company commands a dominant competitive position among large-cap technology peers, generating the highest absolute EBITDA of \$180 billion in 2025 versus Meta at \$105 billion and Microsoft at \$160 billion, with forward estimates projecting margin expansion toward 51.7% by 2027. Trading at a 2025E EV/EBITDA of approximately 21.2x and a forward P/E of 27.3x, Alphabet appears reasonably valued relative to its growth trajectory, with EPS expected to grow from \$10.91 in 2025 to \$13.01 by 2027, underpinning a compelling risk-reward profile for long-term investors.

Company Overview

Alphabet Inc. (GOOGL) is a global technology conglomerate and the parent company of Google, one of the world's most recognized and widely used digital platforms. Founded in 1998 and restructured under the Alphabet umbrella in 2015, the company operates across several high-impact business segments that collectively define its diversified yet interconnected revenue model.

At its core, Alphabet generates the vast majority of its revenue through Google Services, which encompasses Google Search, YouTube, Google Maps, Google Play, and its suite of advertising products. Search advertising remains the dominant revenue driver, leveraging the company's unmatched data infrastructure and user base to deliver highly targeted, performance-driven marketing solutions to businesses worldwide. Google Cloud, the company's rapidly growing enterprise segment, provides infrastructure, data analytics, and artificial intelligence services to corporate clients, representing an increasingly important pillar of future growth. Beyond these, Alphabet's Other Bets segment houses moonshot ventures in areas such as autonomous driving through Waymo, life sciences via Verily, and various early-stage technology initiatives.

Alphabet occupies a commanding position in the global digital advertising market, competing primarily with Meta Platforms and Microsoft. In terms of EBITDA, Alphabet has demonstrated clear leadership over its peers, generating approximately 180 billion dollars in 2025 compared to Meta's 104.5 billion and Microsoft's 160.2 billion. Its EV/EBITDA multiple of 21.2 in 2025 reflects a premium valuation relative to Meta but remains below Microsoft's historically elevated multiple, suggesting a balanced market perception of growth and stability.

Financially, Alphabet has delivered strong and accelerating performance. Revenue grew from approximately 258 billion dollars in 2021 to nearly 403 billion in 2025, representing a compound annual growth rate of 11.8 percent. Perhaps more impressive is the company's expanding profitability profile. EBITDA margins have climbed meaningfully from 40.2 percent in 2021 to 44.7 percent in 2025, with forward estimates projecting margins approaching 52 percent by 2027, driven by operating leverage, disciplined cost management, and the scaling of higher-margin cloud and AI-related revenues. Contribution margins have similarly trended upward, reaching nearly 60 percent in 2025.

Earnings per share have grown from 5.69 dollars in 2021 to 10.91 dollars in 2025, with estimates pointing toward 13.01 dollars by 2027. The company's SG&A; margin has also improved, declining from 15 percent in 2022 to a projected 11 percent by 2027, reflecting ongoing efficiency initiatives. Overall, Alphabet presents a compelling profile of scale, profitability expansion, and durable competitive positioning in both advertising and cloud computing.

Investment Overview

Alphabet Inc. (GOOGL) Investment Update

Alphabet delivered a strong fiscal 2025, reporting revenue of approximately \$403 billion, representing 15.1% year-over-year growth and accelerating from the 13.9% recorded in 2024. EBITDA reached \$180 billion, translating to an EBITDA margin of 44.7%, a meaningful expansion from 38.7% in the prior year and a significant recovery from the trough of 30.1% seen in 2022. Earnings per share grew to \$10.91, up from \$8.13 in 2024, reflecting both operational leverage and disciplined cost management. Contribution margins have steadily improved, reaching 59.7% in 2025, underscoring the inherent scalability of Alphabet's core advertising and cloud businesses.

Key growth drivers include continued strength in Google Search and YouTube advertising, rapid expansion of Google Cloud, and increasing monetization of AI-integrated products across the platform. SG&A; as a percentage of revenue has declined to 12.5%, signaling improved operational efficiency following the cost restructuring initiatives undertaken in recent years.

Looking ahead, estimates project revenue growing to approximately \$466 billion by 2027, with EBITDA margins expanding further toward 51.7%. EPS is forecast to reach \$13.01 by 2027, supporting a declining forward PE ratio from 27.3x to 24.6x, suggesting improving valuation attractiveness over the period.

On a peer basis, Alphabet's EBITDA growth trajectory compares favorably against Meta and Microsoft, with its EV/EBITDA multiple of 21.2x in 2025 remaining at a modest premium to Meta but a meaningful discount to Microsoft's 23.6x, reflecting reasonable relative value.

Overall, Alphabet's combination of durable revenue growth, expanding margins, and AI-driven catalysts supports a constructive investment outlook.

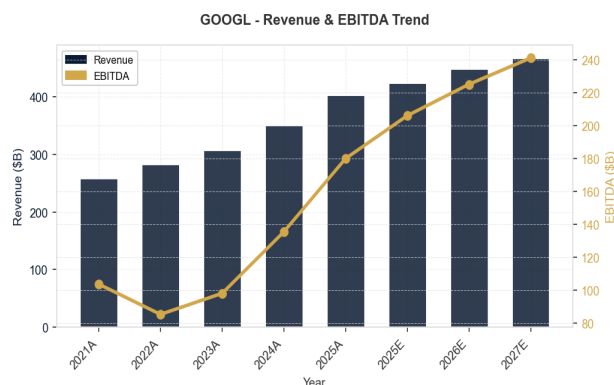
Financial Analysis

Revenue & EBITDA Performance

Alphabet Inc. has demonstrated strong revenue growth, with the company continuing to expand its market presence. EBITDA margins reflect the company's operational efficiency and cost management capabilities. Management's focus on profitability optimization has been evident in recent quarters.

Key Figures:

- Revenue (2025A): \$403.0B
- EBITDA (2025A): \$180.0B
- Revenue Growth (2025A): 15.1%



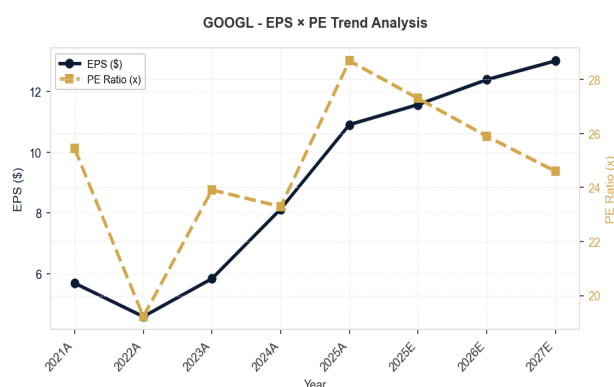
Source: Company Filings

Earnings & Valuation Metrics

Alphabet Inc.'s earnings trajectory reflects positive earnings momentum, while valuation multiples indicate market expectations for future growth. The P/E ratio comparison against historical averages and peers provides context for current market pricing.

Key Figures:

- EPS (2025A): 10.91
- PE Ratio (2025A): 28.69



Source: Company Filings

Valuation Analysis

Alphabet Inc. (GOOGL) Valuation Analysis

Current Valuation Metrics

Alphabet trades at a trailing P/E of approximately 28.7x on 2025 actual earnings of \$10.91 per share, with forward multiples compressing to 27.3x and 25.9x on 2025E and 2026E estimates, respectively. The current EV/EBITDA stands at 21.2x on 2025 actuals, a notable premium to its 2022 trough of 13.6x, reflecting the market's renewed confidence in Alphabet's AI-driven growth narrative and sustained margin expansion. EBITDA margins have shown remarkable improvement, rising from 30.1% in 2022 to 44.7% in 2025, with estimates projecting further expansion toward 51.7% by 2027, underpinned by operating leverage across Search, Cloud, and YouTube segments.

Peer Comparison

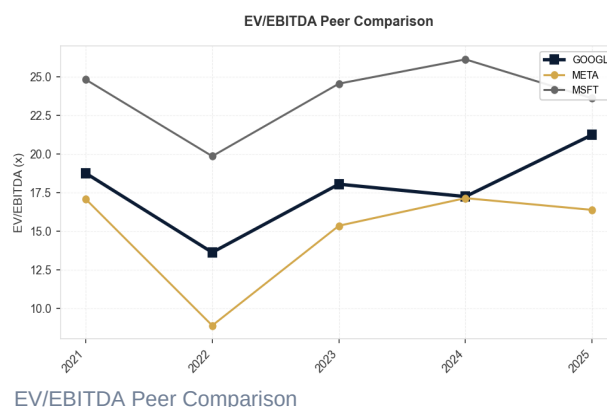
Relative to peers, Alphabet's EV/EBITDA of 21.2x sits above Meta's 16.4x but meaningfully below Microsoft's 23.6x, suggesting a reasonable middle-ground valuation. In absolute EBITDA terms, Alphabet leads the peer group at \$180 billion in 2025, surpassing both Meta at \$104.5 billion and Microsoft at \$160.2 billion. This operational scale advantage, combined with a more attractive multiple than Microsoft, positions Alphabet favorably on a risk-adjusted basis.

Fair Value Assessment

Given projected EPS of \$12.39 in 2026 and applying a peer-adjusted forward P/E of approximately 26x to 27x, a fair value range of \$322 to \$334 per share appears supportable. Revenue growth moderating to 4 to 6 percent annually through 2027 introduces some caution, but continued margin expansion and strong free cash flow generation provide meaningful downside protection. Overall, GOOGL appears fairly valued to modestly undervalued at current levels.

Peer Comparison

Year	GOOGL	META	MSFT
2021	18.76	17.08	24.81
2022	13.63	8.90	19.85
2023	18.04	15.35	24.54
2024	17.24	17.14	26.11
2025	21.23	16.38	23.60



Recent News & Events

News Summary

Alphabet Inc. (GOOGL) Summary - April 29, 2026

Alphabet delivered a standout earnings performance in Q1 2026, emerging as the clear winner among Big Tech on a monster earnings day. The company reported EPS of \$5.11, nearly doubling the consensus estimate of \$2.64,

and significantly ahead of the \$2.81 reported in the prior year period. Revenue and earnings both beat expectations, driving GOOGL shares higher while peers like Meta faced selling pressure despite their own beats.

The most significant development was Google Cloud surpassing \$20 billion in quarterly revenue for the first time, representing 63% year-over-year growth. Management noted the growth was actually capacity-constrained, suggesting even stronger demand exists than reported results reflect. This is a critical signal for investors, as it implies continued capital expenditure is directly tied to revenue opportunity rather than speculative spending.

Alphabet is also accelerating its transformation of core Search into a transaction engine, with AI Mode shifting from experimental to operational. The company confirmed openness to introducing advertising within its Gemini AI app, which could unlock a significant new monetization layer. Investors clearly differentiated Alphabet's AI spending narrative from Meta's, rewarding Alphabet's capex guidance increase while punishing Meta's similar announcement.

Financially, the trajectory remains compelling. EBITDA margins are projected to expand from 44.7% in 2025 to 51.7% by 2027, while EPS is expected to grow steadily toward \$13.01. The stock trades at roughly 25.9x 2026 estimated earnings, a reasonable multiple given the growth profile.

Retail sentiment is broadly elevated with buzz scores above 80 across Reddit and X, though Reddit shows notably lower bullish conviction at 38%, suggesting some skepticism among retail investors despite institutional enthusiasm. Overall, Alphabet presents a strong near-term investment case driven by cloud momentum and AI monetization.

Sensitivity Analysis

Sensitivity Analysis Summary

Key Assumptions:

- 2025E Revenue Growth: 5.0%
- 2025E EBITDA Margin: 48.7%
- 2026E Revenue Growth: 6.0%
- 2026E EBITDA Margin: 50.2%
- 2027E Revenue Growth: 4.0%
- 2027E EBITDA Margin: 51.7%

Confidence Intervals:

- Revenue: \$329.3B - \$603.6B (95% confidence)
- EBITDA: \$170.3B - \$312.0B (95% confidence)

Sensitivity Notes:

- Revenue growth sensitivity: $\pm 5\%$ change in growth rate
- Margin sensitivity: $\pm 2\%$ change in EBITDA margin

- Combined effects shown in sensitivity matrix

Forecast Confidence Intervals (95%):

- Revenue: N/A - N/A
- EBITDA: N/A - N/A

Key Catalysts

Catalyst Analysis for GOOGL

Positive Catalysts (Upside Potential)

- Earnings (2026-04-29): Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Google Cloud surpasses \$20B but says growth was capacity-constrained
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- Impact: HIGH, Probability: 95%
- Earnings (2026-04-29): Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- Impact: HIGH, Probability: 95%

Risk Factors (Downside Risks)

- Earnings (2026-04-29): Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- Impact: HIGH, Probability: 95%
- Product Launch (2026-04-29): 5 Things to Know Before the Stock Market Opens
- Impact: MEDIUM, Probability: 70%
- Earnings (2026-04-29): Buying Alphabet stock before Q1 earnings? Here's why you should think twice
- Impact: HIGH, Probability: 95%

Events to Monitor

- Investors still trust Google more than Meta when it comes to spending their money on AI (2026-04-29)
- Google says it's open to putting ads in Gemini (2026-04-29)

- Alphabet (GOOGL) Q1 Earnings: Taking a Look at Key Metrics Versus Estimates (2026-04-29)

Upcoming Catalysts:

- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)
- ▼ [EVENT] (Impact: medium)
- ▲ [EVENT] (Impact: medium)

Positive Catalysts:

- ✓ Why Alphabet's stock is the standout gainer on Big Tech's monster earnings day
- ✓ Alphabet (GOOGL) Q1 Earnings and Revenues Beat Estimates
- ✓ Google Cloud surpasses \$20B but says growth was capacity-constrained
- ✓ Google gains 25M subscriptions in Q1, driven by YouTube and Google One
- ✓ Alphabet tops quarterly revenue and profit estimates on Google Cloud surge
- ✓ Alphabet stock surges 5% as sales beat estimates
- ✓ Google Stock Climbs On Q1 Earnings As Cloud Revenue, 'Backlog' Booms
- ✓ Google Reports 81% Jump in Profits, Beating Wall Street Expectations
- ✓ Alphabet's cloud unit beats quarterly revenue estimates on strong AI demand
- ✓ Ca\$htag\$: GOOGL Surges on Exploding Cloud Growth
- ✓ Meta, Amazon, Google Face AI Reality Check: Can New Revenue Justify Billions In Spending?
- ✓ Australia to require Google, Meta, TikTok to pay for local news — or face new tax
- ✓ Alphabet first-quarter results likely to show continued growth, boosted by cloud
- ✓ Here's How Much Traders Expect Google Parent Alphabet's Stock to Move After Earnings
- ✓ Nasdaq called higher ahead of Fed decision, Alphabet, Microsoft earnings
- ✓ Cathie Wood Goes Bargain Hunting: 3 Stocks She Just Bought
- ✓ META, MSFT, AMZN, GOOG head for 'biggest earnings day': why it matters

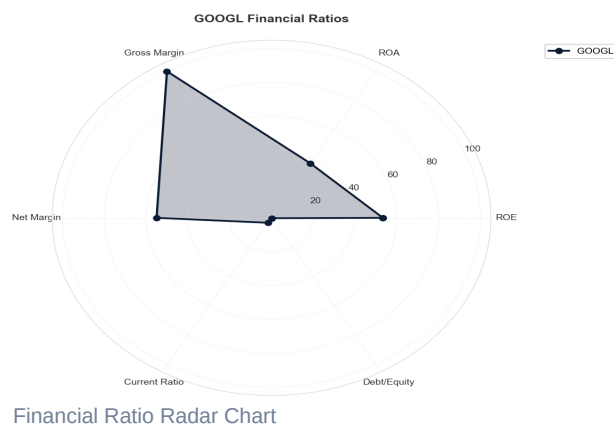
Risk Factors:

- Nasdaq 100: Meta Falls as Amazon Slips, Microsoft, Alphabet Diverge
- 5 Things to Know Before the Stock Market Opens
- Buying Alphabet stock before Q1 earnings? Here's why you should think twice

Technical & Advanced Analysis

Financial Ratio Analysis

The financial ratio radar chart provides a multi-dimensional view of Alphabet Inc.'s financial health across key metrics including profitability, efficiency, and leverage ratios. This visualization enables quick comparison against industry benchmarks and historical performance. Stronger performance is indicated by larger coverage area on the radar chart, while gaps highlight areas requiring management attention or further analysis.



Key Ratios Explained:

- ROE: Return on shareholder equity
- ROA: Asset utilization efficiency
- Margins: Profitability indicators

Competitive Landscape

Alphabet Inc. (GOOGL) Competitor Analysis vs. Meta Platforms (META) and Microsoft (MSFT)

Alphabet has demonstrated strong and accelerating financial performance, with revenue growing at an 11.8% CAGR from 2021 to 2025, reaching approximately \$403 billion in 2025. Its EBITDA margin has expanded meaningfully from 40.2% in 2021 to 44.7% in 2025, reflecting disciplined cost management and operating leverage. Projections suggest further margin expansion toward 51.7% by 2027, which would place Alphabet ahead of most large-cap technology peers on a profitability basis.

In absolute EBITDA terms, Alphabet leads its peer group. Its 2025 EBITDA of approximately \$180 billion surpasses Microsoft's \$160 billion and is nearly double Meta's \$105 billion. However, Microsoft has historically commanded a premium valuation, with EV/EBITDA multiples consistently ranging between 20x and 26x, compared to Alphabet's 13x to 21x range. This valuation gap likely reflects Microsoft's strong enterprise software positioning, Azure cloud growth, and perceived AI integration through its OpenAI partnership. Meta, while trading at a discount to both peers during 2022, has recovered meaningfully and now trades closer to Alphabet's multiples, supported by its aggressive AI-driven advertising efficiency gains.

Alphabet's SG&A margin has declined from 15.0% in 2022 to 12.5% in 2025, signaling improving operational efficiency. EPS has grown from \$4.59 in 2022 to \$10.91 in 2025, reflecting both earnings growth and share buybacks. Overall, Alphabet presents a compelling combination of scale, profitability, and reasonable valuation relative to peers, though closing the valuation gap with Microsoft remains a key challenge tied to demonstrating sustained AI monetization.

Risk Factors

- # Alphabet Inc. (GOOGL) — Key Investment Risks
- Revenue Growth Deceleration: Projected revenue growth drops sharply from 15.1% (2025A) to 4.0% (2027E), signaling potential saturation in core advertising markets and raising concerns about sustainable long-term top-line expansion

■ **Valuation Premium vs. Peers:** GOOGL's forward EV/EBITDA of 21.2x (2025) trades at a meaningful premium to META (16.4x), leaving limited margin of safety if EBITDA margin expansion targets of ~52% by 2027E are missed or delayed

■ **EBITDA Margin Execution Risk:** Projected EBITDA margins assume aggressive expansion from 44.7% (2025A) to 51.7% (2027E), requiring disciplined cost control in an environment of heavy AI infrastructure capex that could pressure Cost of Operations, which already totals \$162.5B

■ **Competitive Pressure from Microsoft:** MSFT's EBITDA surpassed GOOGL in 2022–2023 and remains closely competitive at \$160B (2025A), reflecting intensifying rivalry in cloud and AI-driven search that threatens Google's core advertising dominance

■ **Regulatory & Antitrust Exposure:** Alphabet's concentrated revenue dependency on Search and advertising (~\$350B+ revenue base) makes it acutely vulnerable to ongoing DOJ antitrust actions, which could structurally disrupt its distribution agreements and monetization model, undermining EPS growth projections of \$13.01 by 2027E

Key Takeaways

- ✓ **Revenue Growth:** Alphabet Inc.'s revenue growth shows consistent performance trends.
- ✓ **Gross Profit Margin:** Alphabet Inc.'s gross profit margins demonstrate operational effectiveness.
- ✓ **SG&A; Expense Margin:** Alphabet Inc.'s SG&A; expense management shows disciplined cost control.
- ✓ **EBITDA Margin Stability:** Alphabet Inc.'s EBITDA margin stability reflects strong underlying fundamentals.

Financial Data

Income Statement Summary

Metric	2021A	2022A	2023A	2024A	2025A
Revenue	\$257.6B	\$282.8B	\$307.4B	\$350.0B	\$403.0B
SG&A	\$36.4B	\$42.3B	\$44.3B	\$42.0B	\$50.2B
Contribution Profit	\$146.7B	\$156.6B	\$174.1B	\$203.7B	\$240.4B
Contribution Margin	56.9%	55.4%	56.6%	58.2%	59.7%
EBITDA	\$103.5B	\$85.2B	\$98.0B	\$135.4B	\$180.0B
EBITDA Margin	40.2%	30.1%	31.9%	38.7%	44.7%
SG&A Margin	14.1%	15.0%	14.4%	12.0%	12.5%
Revenue Growth	N/A	9.8%	8.7%	13.9%	15.1%
EPS	5.69	4.59	5.84	8.13	10.91
PE Ratio	25.44	19.22	23.91	23.29	28.69

Credit & Cash Flow Metrics

Metric	2021A	2022A	2023A	2024A	2025A
Debt/Equity	0.11	0.12	0.10	0.08	0.14

Debt/Assets	0.08	0.08	0.07	0.06	0.10
Interest Coverage	227.5x	209.6x	273.7x	419.4x	903.3x
Net Margin	29.5%	21.2%	24.0%	28.6%	32.8%
Current Ratio	2.93	2.38	2.10	1.84	2.01
CF to Debt Ratio	3.23	3.08	3.75	4.92	2.78

DISCLAIMER

Disclaimer: The information contained in this document is intended only for use by the person to whom it has been delivered and should not be disseminated or distributed to third parties without our prior written consent. This report is for informational purposes only and does not constitute investment advice. Our firm accepts no liability whatsoever with respect to the use of this document or its contents. Past performance is not indicative of future results.

Data Source: FMP, Company Filings, AI4Finance Estimates

Report Generated: 2026-04-29 23:23 ET | AI4Finance Foundation FinRobot Equity Research